EXECUTIVE SUMMARY

1. Introduction

Calayan was founded in 1619. It was created as a municipal district of Batanes in 1896 and became part of the Province of Cagayan as a barrio of Aparri in 1902. It was declared as a separate town on March 6, 1923. The main Island of Calayan, the seat of government, is located about 100 kilometers north of Aparri. This town has a total land area of 54,953.75 hectares and is a third class municipality with twelve barangays. This municipality is an archipelago composed of small islands and islets.

The audit covered the accounts and operations of the Municipality of Calayan for the year 2019 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

2. Highlights of Financial Information

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Calayan for the year ended December 31, 2019, with comparative figures for CY 2018, are as follows:

Particulars	2019	2018	Increase (Decrease)	
			Amount	Percentage
Financial Condition				
Assets	561,544,464.09	315,669,904.37	245,874,559.72	77.89%
Liabilities	102,730,791.68	122,717,090.21	(19,986,298.53)	(16.29%)
Gov't Equity	458,813,672.41	192,952,814.16	265,860,858.25	137.79%
Results of Operation				
Total Income	145,773,108.58	136,525,297.55	9,247,811.03	6.77%
Total Expenses	116,022,646.31	112,866,072.43	3,156,573.88	2.80%
Appropriations, Allotments and Obligations				
Appropriations	155,028,358.00	190,384,922.78	(35,356,564.78)	(18.57%)
Allotments	144,008,314.66	145,027,401.26	(1,019,086.60)	(0.70%)
Obligations	126,005,099.29	131,855,657.72	(5,850,558.43)	(4.44%)

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

	2019	2018	Increase (Decrease)	
			Amount	Percentage
Funds Received from Other Agencies				
Due to NGAs	P 7,000,187.32	P17,779,795.78	P(10,779,608.4)	(60.63%)
Due to LGUs	1,856,758.08	4,910,422.07	(3,053,663.99)	(62.19%)
TOTAL	**P 1,856,758.08**	**P 22,690,217.85**	**P(13,833,272.45)**	(60.97%)
Funds Transferred to Other Agencies:				
Due from NGAs	P -	P -	P -	P -
Due from LGUs	1,910,957.91	1,367,847.89	543,110.02	39.71%
TOTAL	**1,910,957.91**	**P 1,367,847.89**	**P 543,110.02**	

3. Independent Auditor's Report on the Financial Statements

We rendered a Qualified opinion on the fairness of the Property, Plant and Equipment (PPE) account (1) due to the non-provision of Depreciation Expense and the related Accumulated Depreciation of the Road Network account with a carrying value of P220,151,811.14 as at December 31, 2019; (2) unreconciled difference of P284,420,400.37 between the Report on Physical Count of Property, Plant and Equipment (RPCPPE) and the books of accounts (3) unserviceable properties amounting P1,992,294.00 which are still included in the PPE account; and (4) major repairs, rehabilitation, improvement, and construction of infrastructure assets and buildings amounting to P2,770,643.49 were not capitalized or recorded as part of the Property, Plant and Equipment (PPE) account but were charged and recorded outright to Repairs and Maintenance Expense account, thus affecting the reliability and accuracy of Property, Plant and Equipment account amounting to P441,612,049.68 as of December 31, 2019. Moreover, the reported balance of Cash Local Treasury - old account amounting to P3,501,545.97 remained undeposited at the end of the year casting doubt on the existence and reliability of the said account.

4. Summary of Audit Observations and Recommendations

1. The balances of Property, Plant and Equipment (PPE) accounts amounting to P528,515,465.58 as of December 31, 2019 showed an unreconciled difference of P284,420,400.37 with that of the Report on Physical Count of Property, Plant and Equipment (RPCPPE) contrary to Paragraph 27 of International Public Sector Accounting Standards (IPSAS) 1 and the Manual on New Government Accounting System (NGAS) for Local Government Units (LGUs) Volume, thus casting doubt on the reliability, accuracy and existence of PPE accounts presented in the Financial Position at year end.

   We recommended management to implement the following:

   a. The Inventory Committee should conduct annual physical inventory to

include all the PPEs of the LGU and prepare properly and completely the corresponding RPCPPE;

b. The General Services Office should maintain Property Cards, respectively, for all PPE Accounts;

c. The Municipal Accountant should prepare and maintain the Property, Plant and Equipment Ledger Cards for each category of assets and Real Property Ledger Cards for land to back up the general ledger for PPE;

d. The Accounting and General Services Offices should reconcile their records to obtain the accurate value of the PPE, prepare the required supporting documents, and draw the adjusting journal entries for the inventory items remaining in the books of accounts but are already non-existent due to fair wear and tear, thereby fairly present the balance of the property accounts in the financial statements.

2. The depreciation expense was not provided and there was no recognition of accumulated depreciation for the Road Network account with a carrying value of P220,151,811.14 as at December 31, 2019 contrary to certain provisions of Philippine Public Sector Accounting Standard 17 (PPSAS 17) and Item IV of COA Circular No. 2015-008 dated November 23, 2015, thus affecting the fair presentation of the account in the financial statements.

   We recommended that management direct the Municipal Accountant to compute the depreciation expense, prepare the lapsing schedule and draw necessary journal entry to take up depreciation expense for the current year, update the related accumulated depreciation and record adjustment in government equity account for unrecorded prior years' depreciation expense to present fairly the financial statements in accordance with PPSAS 17 and pertinent provisions of Item IV of COA Circular No.2015-008 dated November 23, 2015.

3. Unserviceable properties amounting to P5,217,023.32 were not disposed and P1,992,294.00 of the said amount were still included in the Property, Plant and Equipment (PPE) accounts of the municipality contrary to Section 79 of Presidential Decree 1445 and Section 194 of COA Circular No. 92-386 dated October 20, 1992 thus, rendering the reliability and accuracy of the PPE accounts doubtful and depriving the municipality of additional income had they been disposed of through sale or negotiation.

   We recommended that upon the completion of physical count of the Inventory Committee, the Local Chief Executive require the GSO Designate to institute measures to properly dispose all unserviceable properties pursuant to Section 79 of PD 1445 and in accordance with the procedures cited in Title V of COA Circular No. 92-386 dated October 20, 1992.

4. The reported balance of Cash Local Treasury - old account amounting to P3,501,545.97 remained undeposited at the end of the year contrary to Section 8 of COA Circular No. 92-382 dated July 3, 1992 and Sections 2 and 4.4 of Presidential Decree (PD) 1445 casting doubt on the existence and reliability of the said account and depriving the municipality of the immediate use of the funds for its priority programs and projects.

   We recommended the Local Chief Executive require the Acting Municipal Treasurer and the concerned collectors the immediate deposit with the Municipality's authorized depository bank the balance under Cash – Local Treasury (old) as at December 31, 2019 amounting to P3,501,545.97 to avoid possible loss, misapplication or misappropriation of government funds and disciplinary action.

5. Expenditures for major repairs, rehabilitation, improvement, and construction of infrastructure assets and buildings amounting to P2,770,643.49 were not capitalized or recorded as Property, Plant and Equipment (PPE) account but charged to Repairs and Maintenance Expense account, contrary to Philippines Public Sector Accounting Standards (PPSAS) No. 17, thereby understating the PPE account and overstating the Repairs and Maintenance Expense account.

   We recommended that the Municipal Accountant to prepare the appropriate adjusting journal entries to correct the misstatements of the affected accounts. Henceforth, ensure that costs of major repairs, rehabilitation, improvement and construction of infrastructure assets should be capitalized or recognized as property, plant and equipment in accordance with Philippines Public Sector Accounting Standards (PPSAS) No. 17.

5. Summary of Total Suspensions, Disallowances, and Charges

There are no issued and unsettled audit suspension and disallowance as at December 31, 2019.

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the eleven (11) audit recommendations embodied in the prior years' Annual Audit Report, seven (7) were fully implemented, one (1) was partially implemented and three (3) were not implemented as at year-end.